GSM Foils Ltd

Concall Tracker · filed under Q1-2027 · prepared 25 Jul 2026 · NSE: GSMFOILS (SME)

*A quality-focused converter of aluminium foil into **blister foil and strip foil** — the primary packaging that seals tablets and capsules for the pharma industry. It buys bare aluminium foil from rolling mills (Hindalco and others), coats, laminates and prints it, and sells to ~65–70 pharma clients across 14 states. It makes money by buying metal on advance and selling finished foil on 45–70 day credit, rotating its working capital 6–7 times a year.*

1. Snapshot

Metric	Value	Plain-English read
Market cap	₹391 cr	A micro/SME-cap. Small company by market value.
Price / P/E	₹278 / 16.6	The market pays ~16.6x its yearly profit — modest for the growth shown.
FY26 revenue	₹258 cr	Total sales for the year — up ~93% (nearly doubled) on FY25's ₹134 cr.
FY26 net profit	₹20 cr	Profit after tax — up ~2x on FY25's ₹10 cr; earnings per share ₹14.1.
Operating margin	~11.5%	Operating profit before interest/tax/depreciation as a share of sales — thin, because ~80–85% of cost is aluminium metal that is simply passed through.
ROCE / ROE	35% / 38%	Return on capital / equity — high; each rupee of capital earns well, thanks to a light asset base.
Debt	₹44 cr	Borrowings, up sharply from ₹18 cr a year ago — the growth is funded by debt and equity, not internal cash.
Free cash flow (FY26)	–₹40 cr	The business consumed cash: every extra rupee of sales locks up more in debtors and inventory. This is the model's central tension.

Promoter holding has fallen from 73% (Sep 2024) to 54% (Jun 2026) as the company raised money via a public issue, a rights issue and preferential funding. No dividend paid.

2. Concall coverage

GSM Foils listed on the NSE SME platform in May 2024 and held its **first earnings call in May 2025**. All five available calls were read in full — the company's entire concall history to date. This gives a clean but **short (~1 year) track record**, so the consistency read below, while strong, rests on a limited window.

Quarter	Call date	Read?	Revenue	YoY
Q4 FY25	9 May 2025	Yes	₹45.6 cr	+234%
Q1 FY26	21 Jul 2025	Yes	₹52.0 cr	+148%
Q2 FY26	6 Nov 2025	Yes	₹58.1 cr	+86%
Q3 FY26	2 Feb 2026	Yes	₹66.3 cr	+84%
Q4 FY26 ★	22 Apr 2026	Yes (latest)	₹81.7 cr	+79%

The Q1 FY27 (Jun 2026) quarter has already been reported on Screener — revenue ₹96.9 cr, up ~86% YoY, PAT ₹7.6 cr — but its concall transcript was not yet available at preparation, so the latest call read is Q4 FY26.

Latest concall highlights — Q4 FY26 (call 22 Apr 2026)

- **Record quarter, but margin dipped.** Revenue ₹81.7 cr, up 79% YoY. But EBITDA margin fell ~120 bps to **11.5%** (from 12.7% a year earlier) — a war-driven spike in aluminium and petrochemical prices (Iran–Israel–US conflict) squeezed the pass-through. Profit ₹6.3 cr, up 84%; net margin 7.7%.

- **Full-year FY26: ₹258 cr revenue (+93%), profit ~₹20 cr** — the company roughly doubled again, hitting the *top* of the ₹240–260 cr it had guided a year earlier.
- **Second plant (Ahmedabad) is ramping.** Live since Dec 2025, running at ~25–30% use and contributing ~₹5–5.5 cr in March; at full use it can add ₹30–35 cr/month. The Vasai plant is near full (~₹25–28 cr/month).
- **New FY27 guidance: ₹400–450 cr topline** ("even in a mediocre year"), aiming for a ₹60 cr/month combined run-rate by Mar 2027. Margin guided to hold ~11.5%.
- **Receivables spiked in March** as pharma clients' funds got stuck on export/LC payments; ~₹30–40 cr of the ~₹94 cr owed was collected in early April, helped by a new ₹15 cr ICICI Bank facility. Tone: confident but candid about near-term cost pressure and cash strain.

Business mix & capacity (quick facts)

- **Product split:** blister foil ~65% / strip (pharma) foil ~35% of sales — roughly two-thirds is the foil used on tablet blister packs. Management says this mix barely moves year to year.
- **Domestic vs export: no direct exports** — effectively all sales are billed to Indian pharma. Management estimates ~50–55% of the foil *ends up* in medicines those clients then export (to Africa, and onward). So export is indirect, not GSM's own.
- **Capacity:** Vasai plant near full (~90%+; ~10% headroom left, ~₹6–7 cr/month more possible). Ahmedabad plant new at ~25–30%, targeted to reach optimal by end-FY27. Each plant is ~10,000 tonnes/year nameplate.

3. Earning-trigger thesis ★

The trigger is a **working-capital-fuelled volume scale-up in pharma aluminium foil, now doubled by a second plant.** This is a no-moat, no-entry-barrier conversion business where the only edge is *scale* — buying metal in volume, offering clients better price and longer credit than smaller rivals, and rotating funds 6–7x a year. GSM has turned that edge into revenue of ₹42 cr (FY24, part-year) → ₹134 cr (FY25) → ₹258 cr (FY26), and now guides ₹400–450 cr for FY27 as Vasai runs full and Ahmedabad fills up. The driver is concrete and visibly playing out. The catch: it is **thin-margin and cash-hungry** — earnings grow but free cash flow is deeply negative, so the growth keeps needing fresh debt and equity.

Trigger	What management said	Evidence so far	Horizon	Strength
Vasai plant to near-full use	68–70% (May '25) rising to 90%+ by FY26 end	Tracked up each quarter to ~90%+; ~₹25–28 cr/month	Delivered	Strong — done as promised
Second plant (Ahmedabad)	Live Dec '25; 50% by Mar '26; optimal by FY27	Live on time; at ~25–30% (below the 50% aim); ₹5–5.5 cr/month	1–2 yrs	Moderate — ramp slightly behind
Topline doubling	FY26 ₹240–260 cr; FY27 ₹400–450 cr	FY26 delivered ₹258 cr (top of range); Q1 FY27 already ₹97 cr	Live	Strong — demonstrated twice
Margin expansion	Sustain 11–12%, hope +100–200 bps	Held ~11.5%; Q4 dipped to 11.5% on metal spike — no expansion yet	Ongoing	Weak — flat, not expanding
Cash conversion turning positive	Over 18–20 months, "definitely"	Not yet — FCF –₹40 cr in FY26; funded by debt + rights issue	Unproven	Unproven — the key risk

4. Management consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
FY26 revenue		Delivered ₹258 cr — top of the range	Delivered

	₹190–200 cr base, aiming ₹240–260 cr		
FY26 margin	11–12% sustainable	~11.5% held all year; no expansion	Partly
Vasai utilization	Ramp to 90%+ through FY26	Tracked 70% → 85% → ~90%+ as stated	Delivered
Ahmedabad plant	Live Dec '25, 50% by Mar '26	Live on time; reached only 25–30% by Mar	Partly
Lamitube / Alu Alu & backward integration	FY25: the next capex; margin-accretive diversification	Shelved by Nov '25 to focus on Ahmedabad; by Apr '26 the plan flipped to *forward* integration	Dropped / drifted
LDPE plant / food foils	Floated in FY25 as opportunities	Both dropped (thin margins / not "ethical")	Dropped
Working-capital days	Keep to 60–70 days	Broadly held (~60–70), though March '26 receivables spiked on a one-off client-payment squeeze	Delivered

Narrative drift: The *core* story — scale up pharma foil volume via working capital and add capacity — has been dead consistent and delivered, at the top of guidance, every quarter. Where the story has drifted is the **side-bets**: the FY25 diversification pitch (Lamitubes, Alu Alu, LDPE, backward integration) was quietly parked, and by FY26 the integration ambition had reversed direction from backward to forward. Management is unusually **candid** — it openly calls this a no-moat, working-capital-driven commodity conversion business with negative cash flow — which supports credibility even as the diversification narrative wobbles.

5. Bottom line — two verdicts

Durable earning trigger? → YES

The trigger is concrete and demonstrated: revenue has roughly doubled two years running, Vasai is near full, a second plant is filling, and FY27 is guided to ₹400–450 cr with Q1 already at ₹97 cr. It earns high returns on a light asset base. The honest caveat: this is a thin-margin, no-moat conversion business whose growth *consumes* cash and leans on continual debt and equity raises — so "durable" applies to earnings, not yet to self-funding. On earnings power, though, the driver is real and live.

Management consistent? → YES (with a short ~1-year track record)

Across five calls, management delivered what it promised on the things that matter — revenue at the top of guidance, the utilization roadmap tracked quarter by quarter, margins held at the guided level — and it speaks with rare candour about the model's weaknesses. It is not flawless: the Ahmedabad ramp ran a touch behind, margins never expanded as hoped, and the diversification side-bets drifted. But the core promise-vs-delivery record is clean. The verdict is tempered only by how young the company is as a public reporter (calls began just over a year ago), which limits how much history there is to judge.

This is not investment advice. Do your own due diligence. Figures are drawn from GSM Foils' concall transcripts (Q4 FY25 to Q4 FY26) and Screener.in financial data. Aluminium foil terms: *blister foil* = the printed foil lid on tablet packs; *strip foil* = the twin-foil packs used for capsules; *EBITDA* = operating profit before interest, tax and depreciation; *working capital* = cash tied up in inventory and customer credit.